



A Brand Sent Me Free Stuff Instead of Paying Me — Is That Taxable?

(and the “it’s not real money” myth that catches almost every new creator)

A plain-English guide for TikTok, Instagram, and YouTube creators

A NOTE BEFORE WE START

This guide is for general educational purposes only and isn't tax, legal, or accounting advice for your specific situation. How gifted products, brand deals, and platform payouts get taxed depends on the details of each arrangement.

Nothing here replaces a conversation with a qualified CPA or tax preparer about your own income. Nácar & Ledger is glad to talk through how this applies to your specific creator business.

WHY THIS CATCHES SO MANY CREATORS

Getting free products feels nothing like getting paid.

But the IRS doesn't care what it felt like — it cares what it was worth.

No cash changed hands

So it doesn't register as "income" the way a direct payment would — even though the IRS treats it the same.

No 1099 shows up

Brands rarely issue tax forms for gifted product, which makes it feel optional to report. It isn't.

No one explains the rule

Most creators find out about fair-market-value income the hard way — during an audit, not before one.



The Core Rule: “Gifted” Doesn’t Mean Tax-Free

If a brand sends you something in exchange for a post, a mention, a review, or even just “tagging us if you like it” — that’s not a gift under tax law. It’s barter income, and it’s taxable at the product’s fair market value the day you receive it.

The simple test

Was there any expectation attached — a post, a story, a code, a tag, a review? If yes, it’s payment in kind. If a brand truly sent something with zero strings and no expectation of content, that’s the rarer case that may not count.

Reality check: “They didn’t ask me to post” rarely holds up if the product showed up right before a launch, a restock, or a campaign — timing itself is evidence of an expectation.



“It’s Not Real Money, It’s Just Free Stuff”

THE MYTH

You never got a payout, a check, or a Venmo — so it doesn’t feel like income worth tracking.

THE REALITY

The IRS taxes barter income the same as cash income. A \$400 skincare bundle sent for a post is \$400 of taxable income, whether or not a dollar ever touched your bank account.

WHAT IT COSTS YOU

Enough “just free stuff” over a year adds up to real unreported income — and it’s the same dollar amount whether you noticed it or not.

2

“They Didn’t Send Me a 1099, So It Doesn’t Count”

THE MYTH

No tax form showed up, so there’s nothing to report — right?

THE REALITY

Brands are inconsistent about issuing 1099s for gifted product, and many never do. The reporting requirement is on you as the earner, not on whether a form arrived. Income is income with or without a 1099.

WHAT IT COSTS YOU

Waiting for a form that never comes means income quietly stacks up unreported for years — exactly the pattern that draws attention in an audit.



“It Was Under \$600, So It’s Not Taxable”

THE MYTH

The \$600 threshold gets treated like a tax-free allowance for small gifts and deals.

THE REALITY

\$600 is the trigger for a business to issue you a 1099 — it’s not a minimum for what counts as income. Every dollar of value you receive in exchange for content is reportable, regardless of the threshold.

WHAT IT COSTS YOU

Stacking multiple “under \$600” deals across a year is still fully taxable — the \$600 rule only ever governed the brand’s paperwork, never yours.

4

“I Didn’t Use It / I Gave It Away”

THE MYTH

You never even opened the package, or passed it on to a friend — so surely it never became your income.

THE REALITY

The taxable moment is when you receive the product with an expectation attached, not when or whether you use it. What you do with it afterward doesn’t undo the income that was already created.

WHAT IT COSTS YOU

Regifting or ignoring the product doesn’t erase the paper trail — the brand’s shipping records and your posts about it still exist.



Add It Up, and It's a Real Number

A handful of \$100–\$300 packages a month

\$1,200–\$3,600/year in unreported income

One or two bigger brand collabs

Can push the total into five figures fast

Multiple years of the same pattern

Back taxes, penalties, and interest compound each year it's missed



The Fix Is a Simple Habit, Not a New Skill

1

Log it when it lands

The day a package arrives, write down what it was and what it's worth — a note in your phone counts.

2

Use the retail price as FMV

The listed price on the brand's own site is a defensible fair-market-value estimate.

3

Keep the ask, not just the item

Screenshot the DM, email, or contract describing what the brand expected in return.

4

Set aside for it like cash

Treat gifted-product value like any other income when you estimate what you'll owe.



A Quick Way to Check Any Package

1

Did the brand ask for a post, story, tag, or code — even loosely?

Yes → taxable at fair market value

2

Did it arrive timed to a launch, restock, or campaign?

Yes → treat it as taxable to be safe

3

Would you have gotten it without posting anything at all?

No → it's payment in kind, not a gift

✓ **Your Next Steps**

- ✓ Start a simple running log of every gifted product this year — item, brand, estimated value, date received
- ✓ Go back through the last 12 months of DMs and packages if you can — even a rough estimate beats nothing
- ✓ Set aside roughly 25–30% of the value of anything you log, same as cash income
- ✓ Bring your log to whoever preps your taxes — don't assume they already know about it



Track It Like Income, Because It Is

A simple gifted-product log is one of the easiest things a creator can start doing today — long before a brand deal, an audit, or a bigger platform makes it unavoidable.

NÁCAR & LEDGER

Financial & Operations Consulting for Providence's Next Generation of Business Owners

nacarledger@outlook.com | nacarledger.com